

Session 4.1: Comprehensive Case: Amazon

Retail flywheel, third-party marketplace, and AWS segment cross-subsidization.

PART 1 (LECTURE)
60 Minutes

PART 2 (LAB PRACTICE)
60 Minutes

PART 3 (EXECUTIVE MEMO)
60 Minutes

STANDARD
Audited SEC Filings

Learning Objectives & Executive Overview

Clear conceptual grounding for undergraduate and graduate business students.

CORE COMPETENCIES

Goals

What You Will Master Today

- **Theoretical Mastery:** Evaluate seminal literature and analytical frameworks governing platform competition.
- **Empirical Rigor:** Reconcile management strategic claims with legally audited statutory filings.
- **Data Modeling:** Execute spreadsheet calculations with explicit coordinates and formula logic.
- **Executive Formulation:** Deliver structured board-level recommendations resolving complex trade-offs.

PLATFORM FLYWHEEL THEORY

Vocabulary

Key Topical Foundations

- **Amazon Flywheel::** Traffic → Sellers → Selection → Experience → Traffic.
- **1P vs. 3P Marketplace::** Direct retail inventory vs. platform marketplace fees.
- **Segment Cross-Subsidization::** Using high-margin software to fund capital logistics.
- **Micro-Examples::** Fulfillment by  Amazon (FBA), Prime membership, Sponsored Ads.

Theoretical Foundations: Platform Flywheel Theory

Rigorous analytical frameworks and literature benchmarks.

THEORETICAL ARCHITECTURE

Literature

Seminal Framework Insights

- *Amazon Flywheel::* Traffic → Sellers → Selection → Experience → Traffic.
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STRATEGIC APPLICATION

Analysis

Business Model Mechanics

- *Three Segments::* North America, International, and  Amazon Web Services (AWS).
- *Retail Margin Squeeze::* Logistics and shipping holding retail margins near 0%.
- *AWS Profit Engine::* Cloud operating margins consistently between 25% and 35%.
- *2022 Financial Stress::* AWS operating profit alone kept consolidated  Amazon profitable.

STRATEGIC TAKEAWAY

Retail flywheel, third-party marketplace, and AWS segment cross-subsidization.

Seminal Literature & Economic Mechanics

Governing economic dynamics, externalities, and platform governance models.

ECONOMIC EXTERNALITY

Model

Network Externalities & Market Tipping

- **Positive Feedback Loops:** Adoption utility accelerates quadratically as the complementary user base expands.
- **Two-Sided Subsidization:** Balancing prices between money-side and subsidy-side to catalyze cross-network participation.
- **Multi-Homing Frictions:** Users and suppliers incurring setup and cognitive costs when operating across competing platforms.
- **Governance Standards:** Programmatic rules and interface contracts mitigating opportunistic market behavior.

STRATEGIC LEVER

Ecosystem Dynamics

Platform Architecture Mechanics

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Strategic Showdown: Incumbent Architecture vs. Platform Ecosystem

Contrasting capital-intensive linear controls with scalable ecosystem orchestration.

LINEAR INCUMBENT MODEL

Physical Pipeline

Controlled Capacity & Heavy CapEx

- **Proprietary Asset Ownership:** Firms fund physical plant, equipment, and inventories directly on balance sheet.
- **Gatekeeper Curation:** Central corporate management manually selects products, vendors, and services.
- **Supply Chain Bottlenecks:** Expansion speed is strictly constrained by capital expenditure budgets and construction lead time.
- **Linear Economics:** Revenue growth requires proportional expansion in headcount and physical fixed assets.

PLATFORM ECOSYSTEM MODEL

Software Orchestrator

Algorithmic Matching & Asset-Light Scale

- **Externalized Production:** Community participants supply physical capital, labor, and distributed inventory.
- **Algorithmic Governance:** Two-way reputation systems and automated matching replace physical gatekeepers.
- **Zero Marginal Cost Expansion:** Adding new marketplace participants requires lines of code rather than land acquisition.
- **Exponential Leverage:** Transaction volume accelerates rapidly while corporate headcount remains tightly bounded.

CORE STRATEGIC DISPARITY

Pipelines compete by optimizing internal operations and erecting proprietary barriers. Platforms compete by orchestrating external ecosystems and minimizing friction across bilateral exchanges.

Case Showdown: Amazon Corporate Model

Historical case evidence and multi-year corporate trajectory confrontation.

CORPORATE DYNAMICS

Timeline & Strategy

 Strategic Positioning

- Three Segments::** North America, International, and  Amazon Web Services (AWS).
- Retail Margin Squeeze::** Logistics and shipping holding retail margins near 0%.
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ANALYTICAL FINDINGS

Empirical Evidence

Operational & Financial Results

- Amazon 10-K Data::** Sales & operating income across all 3 segments (2019-23).
- Segment Margins::** Calculating operating margin % for NA, Intl, and AWS.
- AWS Contribution %::** AWS Operating Income / Total Operating Income (=G2/H2*100).
- Stress Test (2022)::** NA lost -\$2.8B, Intl lost -\$7.7B; AWS produced +\$22.8B.

AUDITED CASE CONCLUSION

Retail flywheel, third-party marketplace, and AWS segment cross-subsidization.

Executive Dilemma: Executive Lab

Framing complex management dilemmas and evaluating corporate trade-offs.

EXECUTIVE CHALLENGE

Strategic Tension

Corporate Strategic Tension

- *Antitrust Spin-Off Scenario::* Evaluating 🍌 Amazon financial viability if AWS is spun off.
- *Retail Financing Crisis::* How standalone retail would fund billions in fulfillment capex.
- *Executive Defense Strategy::* Defending platform integration based on consumer welfare.
- *Strategic Memo::* Executive brief on regulatory defense and capital allocation.

EVALUATION RUBRIC

Requirements

Board-Level Deliverable

- *Actionable Recommendation:* Formulate a concrete 3-bullet decision brief for senior leadership.
- *Quantitative Defense:* Support recommendations using audited financial metrics from the lab spreadsheet.
- *Risk Mitigation:* Address channel friction, partner resistance, or competitive retaliation.
- *Implementation Timeline:* Define immediate 90-day execution milestones.

Lab Transition: 120-Minute Hands-On Execution

Transitioning from lecture observation to hands-on data manipulation and strategic decision-making.

EXERCISE 1: FOUNDATIONAL PRACTICE

60 Min Lab

Applied Excel Lab

Hands-on spreadsheet protocol using audited historical numbers:

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- **AWS Contribution %::** $\text{AWS Operating Income} / \text{Total Operating Income} (=G2/H2*100)$.
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EXERCISE 2+: ADVANCED PROBLEM SOLVING

60 Min Memo

Executive Lab

Applied scenario analysis, trade-off evaluation, and executive brief:

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